THEMATIC RESEARCH · NEOCLOUDS

The Neocloud Squeeze: When Lenders Stop Funding the AI Build-Out

The specialised cloud companies that rent Nvidia GPUs to AI labs have lost a third of their market value in a month and, by several accounts, access to the bond market. CoreWeave's unsecured bonds yield more than 15%, its credit default swaps trade above 1,100 basis points and Elon Musk has warned of 'guppy-level death and consolidation' among more than 200 neoclouds. This report explains the business model, the numbers, who is exposed and what it means for the wider AI trade.

Global Markets Research · Credit and Equity Strategy Desk Prepared by ANDRA MARKETS

~$104B

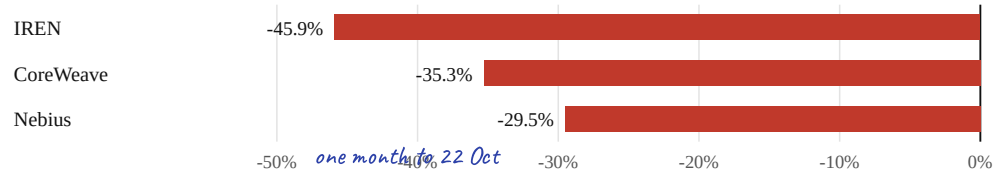
demand fine, funding not

Coverage summary. Neoclouds such as CoreWeave, Nebius and IREN act as landlords for AI chips: they borrow to buy GPUs and build data centres, then rent the capacity to AI labs and hyperscalers on multi-year contracts. Demand has not been the problem; CoreWeave's revenue backlog reached $104 billion in June and its quarterly revenue more than doubled. Funding has. In October CoreWeave's unsecured bonds fell to distressed levels, with yields of ~15.6% and five-year credit default swaps around 1,148 basis points; CoreWeave, Nebius and Nscale were reported to be effectively shut out of new bond issuance, and new data-centre loans now require returns above 10%. Over the month to 22 October CoreWeave fell 35%, Nebius 29% and IREN 46%. The AI build-out has a funding layer that is far more fragile than the hyperscalers, and it is the first to crack as rates rise.

from 2.9% to 16% in a month

CoreWeave bond yield	CoreWeave CDS	CoreWeave debt	AI-related bonds, 2026
~15.6%	**1,148bp**	**$35.6B**	**$419B**
unsecured, 26 Oct	*26 Oct*	*vs $5.5B cash*	*record*

EXHIBIT 1. SHARE PRICE CHANGE OVER ONE MONTH TO 22 OCTOBER 2026 (%)



Source: 24/7 Wall St., 22 October 2026.

a third gone in a month

1.0 Executive Summary

Key takeaways

landlords of chips

The business model is leverage on contracts. Neoclouds borrow against GPUs and customer contracts to build capacity that hyperscalers and AI labs prefer not to own. If demand falters, the customers can shift work elsewhere; the neocloud keeps the data centre, the ageing chips and the loans.

credit closed

The credit window has narrowed sharply. Nebius's chief executive said asset-backed financing and debt markets had temporarily dried up. Musk said lenders have almost entirely stopped lending to companies without substantial revenue outside AI data centres.

~$35

capex ~3x revenue

The funding need is enormous. CoreWeave plans $35 to 39 billion of capex this year against revenue of $12.4 to 13.2 billion; Nebius plans $20 to 25 billion with $8.55 billion of debt. Spending three times revenue requires open capital markets.

NVIDIA on the hook

NVIDIA is part of the safety net. It has invested more than $7 billion directly in AI clouds and its filing shows up to $164.5 billion of guarantees and commitments tied to data centres running its chips, although Jensen Huang says CoreWeave does not need a safety net.

~$7.0B

~$3.5B

This is stress, not default. Nebius secured a $3.5 billion Citi facility on 17 October and CoreWeave sold $4.2 billion of convertibles at 2.875% in September. The strongest names can still borrow, at a price.

not a default

consolidation

Our reading. The neocloud squeeze is the credit market's version of this week's equity message: AI demand is real, but the market will no longer fund it at any price. Expect consolidation, more equity issuance and more support from suppliers and customers. For the wider AI trade, the risk is a slowdown in capacity additions outside the hyperscalers, which would hit GPU demand at the margin.

2.0 The Model

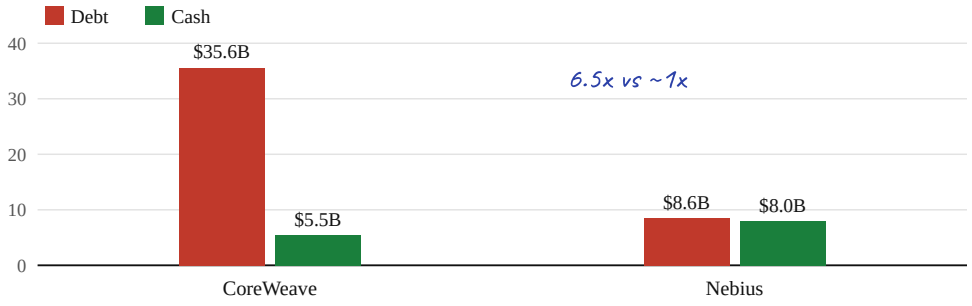
How a neocloud makes and spends money

$40M per MW

A neocloud signs a multi-year contract, often with an investment-grade customer such as Microsoft, Meta or a frontier lab, then finances the GPUs and buildings needed to serve it. CoreWeave said in September that selected short-term contracts were priced at about $40 million of annualised revenue per megawatt of power, a sign of scarcity pricing, and its second-quarter contracts carried contribution margins five to ten points above earlier ones before a 25% price increase in July. The risk sits in the timing: the debt is front-loaded, while the revenue arrives over years and depends on contracts being renewed at similar prices. Lenders are underwriting not just today's demand but tomorrow's rental rates, and GPUs lose value quickly as new generations arrive.

~$40M

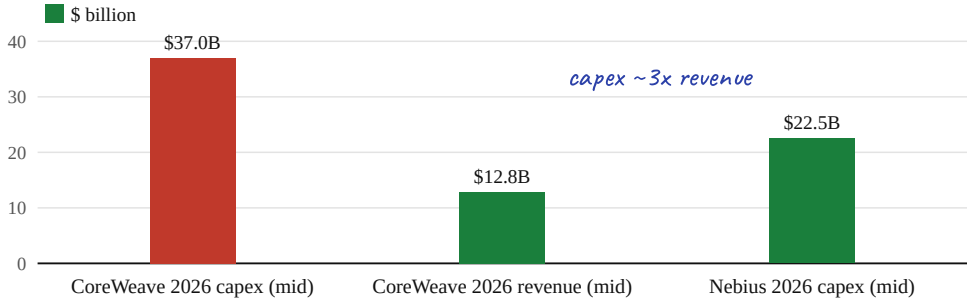
Exhibit 2. Debt and cash, 30 June 2026 ($ billion)



the gap

Sources: CoreWeave and Nebius filings via 24/7 Wall St. and Yahoo Finance.

Exhibit 3. 2026 capital expenditure vs revenue ($ billion, midpoints)



Sources: CoreWeave Q2 2026 guidance (capex $35-39B, revenue $12.4-13.2B); Nebius plans ($20-25B) via 24/7 Wall St.

3.0 CoreWeave

Backlog, debt and the bond market

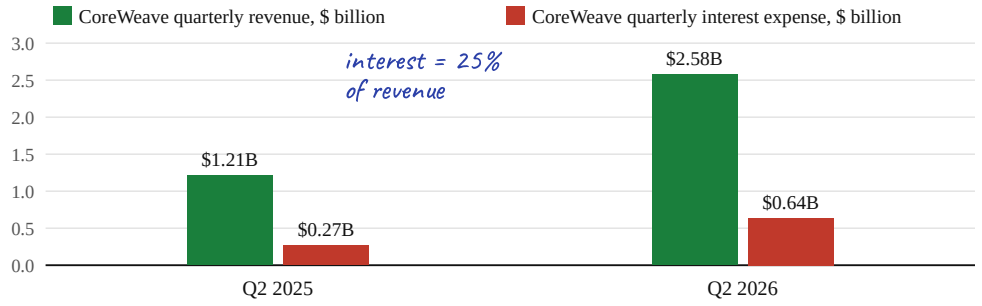
$104B backlog

CoreWeave is the largest and most visible case. Second-quarter revenue rose 112% to $2.58 billion and the backlog reached about $104 billion, with more than $25 billion of new commitments signed in early third quarter, including a $21 billion contract with Meta through 2032. But it lost $626 million in the quarter and interest expense reached about $640M, 2.4 times a year earlier and about a quarter of revenue. Total debt was about $35.6 billion against $5.5 billion of cash. In October its 2031 notes

~112%

yielded 15.78% and its CDS briefly topped 1,140 basis points; the shares fell 15% on 14 October and 12% on 16 October. At roughly $59 billion of market value, investors pay about 56 cents per dollar of contracted backlog.

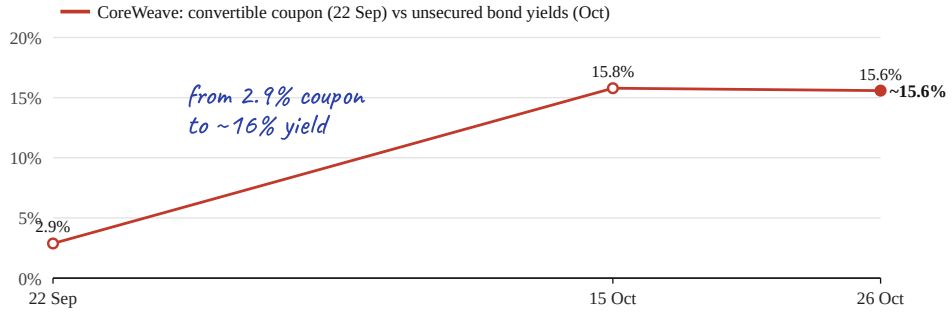
Exhibit 4. CoreWeave: revenue vs interest expense ($ billion)



interest ≈ 1/4 of sales

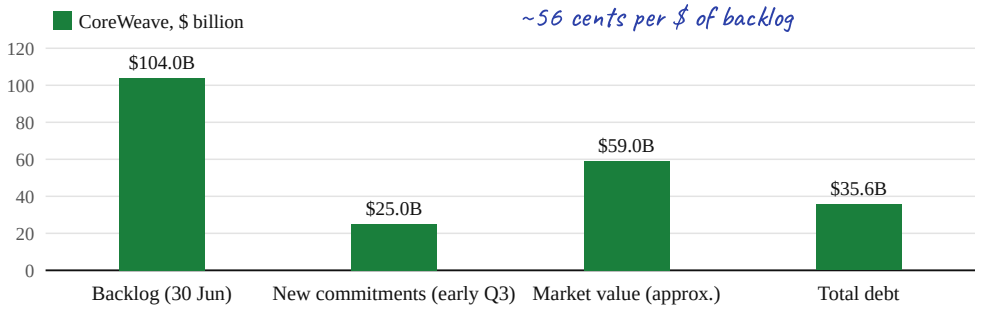
Sources: CoreWeave Q2 2026 results via KuCoin and Crypto Briefing; Q2 2025 interest derived from the reported 2.4x increase.

Exhibit 5. CoreWeave: from cheap convertible to distressed yields (%)



Sources: CoreWeave (convertible coupon, 22 Sep); BigGo Finance (2031 notes, 15 Oct); RoboForex (bond yield, 26 Oct).

Exhibit 6. CoreWeave: backlog, market value and debt ($ billion)



Sources: CoreWeave Q2 2026 results; Webull (market value ~$59B); 24/7 Wall St. (debt).

4.0 The Wider Credit Market

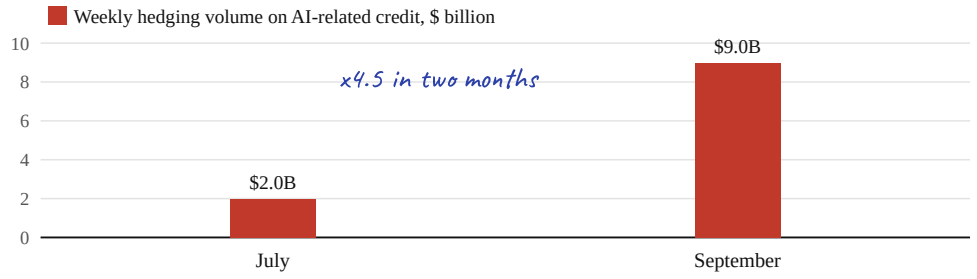
Hedging, spreads and a record year of issuance

~$419B

The squeeze is part of a broader repricing of AI credit. AI-related bond issuance has reached a record of about $419 billion this year, led by the hyperscalers; insurance against default for NVIDIA and Meta has hit record highs; and weekly hedging volume on AI-related credit rose from under $2 billion in July to more than $9 billion in September. At least 18 current data-centre deals reportedly require annual returns above 10%. Treasury Secretary Scott Bessent said the government is monitoring the situation without cause for concern. The cost of capital for the AI build-out is rising fastest where balance sheets are thinnest.

$419B record

Exhibit 7. Weekly hedging volume on AI-related credit ($ billion)



Source: Hugging News, citing market data (October 2026). July shown at the reported 'under $2 billion'.

5.0 Who Is Exposed

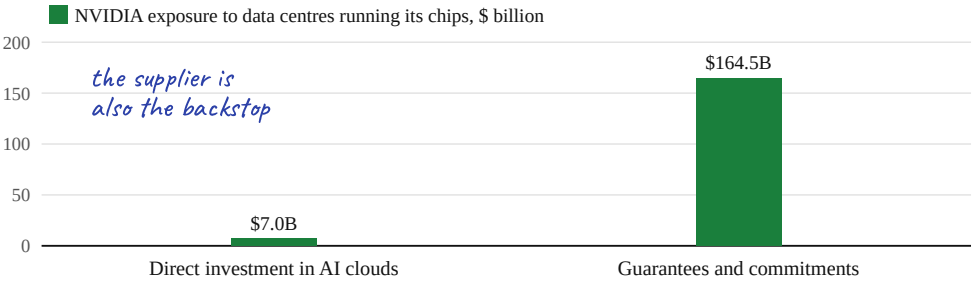
Suppliers, customers and lenders

NVIDIA: $164.5B

~$7.0B

The exposure runs in several directions. NVIDIA has invested more than $7 billion directly in AI cloud providers and its latest quarterly filing shows up to $164.5B of guarantees and commitments tied to the data centres running its chips; a neocloud failure would hit its revenue and its guarantees. Alphabet backs part of the lease payments at TeraWulf and Cipher Digital sites. Customers such as Microsoft and Meta have shifted capacity risk onto neoclouds and could re-absorb it. Lenders, from banks such as Citi to private credit funds, hold GPU-backed loans whose collateral loses value as new chips arrive. Gartner forecasts that 80% of neoclouds will cease independent operations by 2030.

Exhibit 8. NVIDIA's exposure to AI clouds ($ billion)



Source: Fortune, citing NVIDIA's latest quarterly filing (October 2026).

6.0 Scenarios and Calendar

Into the November reports

Exhibit A. Andra Markets scenarios for neoclouds to mid-2027

Scenario	Prob.	What happens	Signal
Managed squeeze	50%	strong names refinance at high cost; weaker ones merge or sell	yields ease from 15%; equity raises
Consolidation wave	35%	several smaller neoclouds fail or are absorbed; capacity sold to hyperscalers	distressed asset sales; NVIDIA support
Credit event	15%	a large neocloud misses payments or breaches covenants	CDS spike; GPU prices fall; AI capex questioned

Andra Markets scenarios; probabilities are judgemental. Not a recommendation on any security.

Exhibit B. What to watch

Date	Event	Why it matters
November	Q3 reports: CoreWeave, Nebius, IREN	liquidity, capex and financing plans
17 Nov	NVIDIA results	guarantees and AI cloud demand
Ongoing	CoreWeave bond yields and CDS	the credit thermometer
Ongoing	GPU rental prices	collateral values
9 Dec	Fed decision	cost of floating-rate debt

Andra Markets selection.

reading: AI demand is real, but credit for it is no longer cheap. the neoclouds are where the build-out meets the cost of capital

Methodology and Source Notes

Method. This report uses company filings and results for CoreWeave and Nebius, credit-market data and commentary reported by the financial press, and statements by Elon Musk, Arkady Volozh and Scott Bessent, as available on 31 October 2026. Some data points are approximate or from single sources and are labelled. Scenario probabilities are judgemental. Not a recommendation on any security. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. CoreWeave and Nebius filings; Fortune; Yahoo Finance; Stocktwits; 24/7 Wall St.; BigGo Finance; RoboForex; Hugging News; Kingy AI; KuCoin; Crypto Briefing; Webull; Trefis; Spheron; Gartner via 24/7 Wall St.

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